



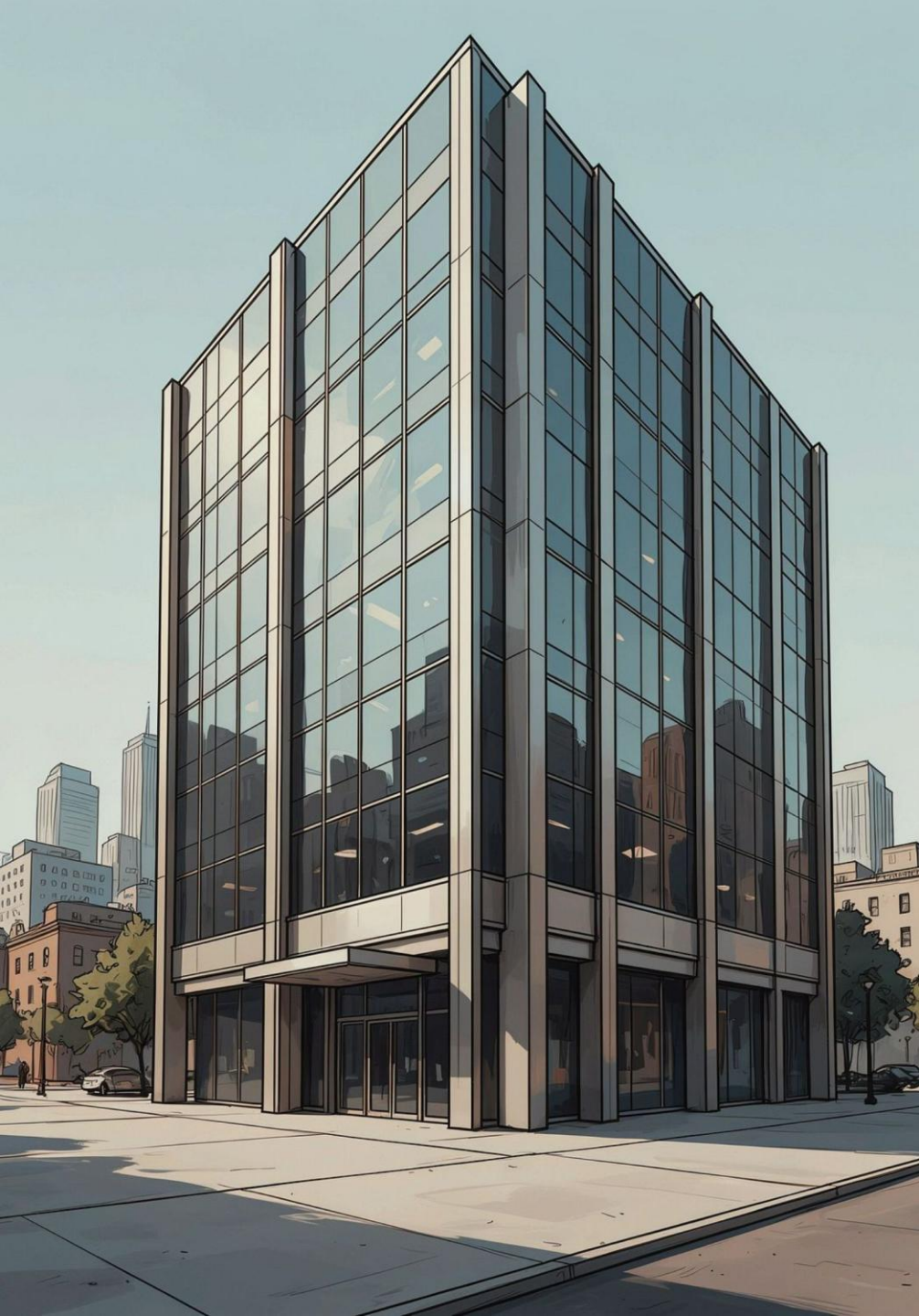
The Talent Partner Unlocking Tomorrow's Workforces

FinCEN SAR Filing Requirements

Criteria · Timing · Content · Narrative ·
Confidentiality

Trainer: Mahesh Gali, CAMS, CFCS, CALM





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An alert is not a SAR. The facts decide.

What We Will Cover

A Filing Criteria & Timing

B What the SAR Must Contain

C Confidentiality, Corrections & Continuing Activity

Key message: An alert $\neq$ a SAR. The investigation and the facts determine whether the criteria are met.

Assessment focus: Criteria, the 30 / 60-day clock, narrative content, and confidentiality.



SECTION A — Filing Criteria & Timing

SECTION A

Filing Criteria & Timing

When a SAR is required

What the criteria actually say

The 30 / 60-day clock

When the clock starts



When Does a Financial Institution File a SAR?

Applicable reporting criteria are met AND the institution knows, suspects, or has reason to suspect that the transaction or pattern:

- 1 Involves funds derived from illegal activity**
- 2 Is intended to hide or disguise funds or assets derived from illegal activity**
- 3 Is designed to evade a BSA reporting or recordkeeping requirement**
- 4 Has no apparent lawful purpose, or is not activity the customer would normally conduct – with no reasonable explanation after examining available facts**
- 5 Involves the use of the financial institution to facilitate criminal activity**

Key message: Knowledge, suspicion, or reason to suspect — on the available facts.

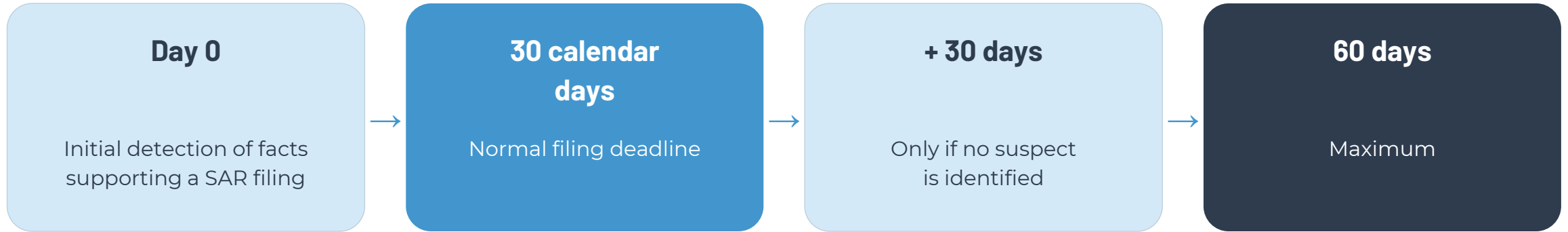
Not required: Proof of the underlying crime.

Assessment Focus – What to Remember

- 1 An alert is not a SAR
- 2 The investigation and the facts determine whether SAR criteria are met
- 3 A suspect does not always need to be identified before a SAR can be filed
- 4 Suspicious activity can involve completed or attempted transactions
- 5 Relevant activity may be a single transaction or a pattern of transactions

Key message: The alert opens the review. The facts decide the filing.

SAR Filing Timeline



⚠ Important assessment point

The clock runs from initial detection of facts that may constitute a basis for filing — not the alert date.

30 calendar days is the normal deadline

The additional 30 days applies only where no suspect has been identified

60 calendar days is the outside limit

Key message: Detection of the facts starts the clock — not the alert.

Worked Example – Alert Generated on 1 January

Date	What happens	Does the 30-day clock start?
1 Jan	Automated system generates an alert. No suspicious facts identified beyond the trigger.	Not necessarily
5 Jan	Analyst reviews the transactions and identifies facts that may provide a basis for a SAR.	Yes — the key date
20 Jan	Investigation is completed and the bank confirms a SAR should be filed.	The clock does not restart here
4 Feb	30 calendar days after 5 January.	Normal filing deadline

The distinction: An alert that requires review vs the initial detection of facts that may constitute a basis for filing.

In this example: 5 January is the applicable initial-detection date.



SECTION B — What the SAR Must Contain



SECTION B

What the SAR Must Contain

The six questions

The narrative standard

Building the narrative

FinCEN's checklist

What Information Should a SAR Contain? (1 of 2)

WHO + WHAT + WHEN + WHERE + WHY + HOW

WHO

- Subject / customer
- Relevant counterparties
- Beneficiaries
- Other individuals and entities involved

WHAT

- Suspicious transactions
- Amounts
- Transaction types
- The pattern or activity causing concern

WHEN

- Relevant dates
- Review period
- Sequence of transactions

Key message: Name the parties, quantify the activity, and fix it in time.

Required fields: Subject information + suspicious activity details + transaction information + narrative.

What Information Should a SAR Contain? (2 of 2)

WHERE

- Branch or location
- Account
- Financial institution
- Jurisdiction, where relevant

WHY

- What was unusual?
- Why did it create suspicion?
- What explanation was obtained?
- Was the explanation reasonable?

HOW

- How did the funds move?
- How was the activity conducted?
- How did the parties benefit?

WHY is the question a reviewer reads first — and the one most often answered weakly

Key message: WHERE and HOW describe the mechanics. WHY carries the case.

Always state: The explanation obtained — and whether it was reasonable.

The SAR Narrative Standard

Clear

Complete

Concise

Factual

Chronological
where appropriate

FinCEN states that the narrative is **critical to understanding the nature and circumstances** of the suspicious activity.

Which information is required in a SAR?

Subject information

Suspicious activity details

Transaction information

Narrative & supporting
information

Key message: The narrative is the part of the filing a reader outside the bank relies on.

Never: Submit a narrative that only restates the transaction table.

SAR Narrative: What Must the Analyst Explain?

1

Customer / Subject

Who is involved · relevant KYC information

2

Suspicious Activity

What happened · amounts · transaction types · dates

3

Transaction Pattern

Chronology · relationship between transactions · source and destination

4

Investigation Findings

Customer explanation · documentation · counterparties · research · screening

5

Why Suspicious?

The specific facts · inconsistencies with the profile · unresolved concerns

6

Who Benefited?

Identify who benefited and how, where applicable

Key message: Build the narrative around the investigation — in the order a reader needs it.

FinCEN Narrative Checklist

Include relevant information about:

1 Completed vs attempted transactions

2 Location of the suspicious activity

3 Whether the activity is isolated or related to other activity

4 Customer or subject explanations – and when they were provided

5 Supporting documentation

✗ **Do not simply copy the transaction table.** Tell the investigator what happened and why it matters.



SECTION C — Confidentiality, Corrections & Continuing Activity

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Confidentiality, Corrections & Continuing Activity

SAR confidentiality

Corrected vs amended

Continuing activity SARs

The 90 / 120-day cycle



SAR Confidentiality

SAR information is confidential.

The rule

- An institution generally cannot disclose to a person involved in the transaction that a SAR has been filed
- This covers the fact of filing, the intention to file, and anything revealing its existence

If a customer asks

- Do not confirm the existence of a SAR
- Do not deny the existence of a SAR
- Follow your institution's escalation procedure

Key message: Do not confirm or deny — in any form, to anyone involved.

Remember: Unauthorised disclosure is a violation, not a customer-service question.

Corrected & Amended SARs

Correction

- An error is discovered in information previously reported

Amendment

- New information about previously reported suspicious activity is discovered, and a continuing report is not appropriate

For both – the same four steps

1

Complete the SAR
in its entirety

2

Select
Correct / Amend
prior report

3

Reference the prior
report's identifier
where required

4

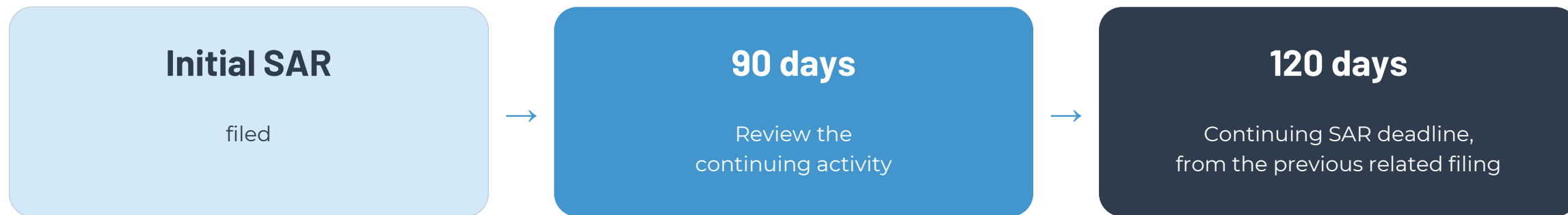
Explain it at the
start of the narrative

Key message: A correction fixes an error. An amendment adds new information.

Always: Explain the correction or amendment at the beginning of the narrative.

Continuing Activity SARs

Used when suspicious activity continues after an initial SAR has been filed



The narrative should focus on the current 90-day period

Do not simply copy the previous SAR narrative

Key message: Review after 90 days; file within 120 days of the previous related SAR.

Write fresh: Each continuing SAR covers what happened in its own period.

Key Takeaways

01 An alert is not a SAR – the facts decide

02 No suspect needed; attempts count too

03 The clock starts on detection of the facts

04 30 days normally, 60 at the outside

05 The narrative carries the filing

06 Never confirm or deny that a SAR exists

Closing thought: File on the facts, on time, in language a reader outside the bank can follow.